

Description & Eligibility

Assess entry-level accounting principles. Contestants analyze, journalize, post transactions, and prepare financial reports/statements. Any postsecondary division contestant may enter this application event. Contestants may *not* enter College Accounting and Advanced College Accounting in the same year. This event may *not* be repeated.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. **Violation of this rule will result in disqualification.**
- Length of event: no more than ten (10) minutes for orientation, no more than ninety (90) minutes for testing, and no more than ten (10) minutes for wrap-up.
- Entries vary by state.

Contest Competencies

- Differentiate between forms of business ownership
- Complete and explain the purpose of the various steps in the accounting cycle
- Apply generally accepted accounting principles (GAAP) to determine the value of assets, liabilities, and owner's equity
- Define accounting terms and concepts and explain the purpose of the accounting system.
- Demonstrate an understanding of the accounting equation
- Analyze transactions affecting assets, liabilities, owner's equity, revenues, expenses, and dividends
- Record transactions in general journals
- Post from journals to general and subsidiary ledgers
- Prepare a trial balance
- Prepare a bank reconciliation
- Calculate depreciation using straight-line, units-of-production, and double-declining balance methods
- Calculate and record end-of-period adjustments
- Prepare inventory records using perpetual FIFO, LIFO, and Weighted-Average methods
- Analyze transactions relating to the purchase and sale of merchandise
- Determine and record uncollectible accounts receivable
- Determine interest and maturity value of a promissory note
- Prepare, interpret, and analyze financial statements and reports for service and merchandising businesses
- Journalize closing entries
- Prepare a post-closing trial balance
- Calculate and interpret financial ratios

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